

Global FX weekly

A game of two halves

The View

G10 FX. FX betas to front-end nominal vs. belly real rates diverge, symptomatic of policy mistake risks. Short EUR vs. USD & GBP; yen awaits prudent policy mix.

EM FX. Fiscal risk premia diverge - LatAm/EMEA supported by high real yields; Asia lags on subsidies, weak terms of trade

G10 Themes

EUR. Cautious EUR near-term but medium-term bias stays constructive on eventual growth pick-up, Iran normalisation, and supportive valuations.

Europe trip notes. Feedback from EU meetings. Caution on Hormuz reopening, if temporary. More EURUSD bears than bulls but shorts not crowded.

GBP. UK experiencing a surge in inward M&A, concentrated in AI, biotech & finance rather than traditional industries. GBP supportive in I/term.

G10 FX flows: USD buying vs JPY and EUR has been the key theme in G10 FX flows since the start of the Middle East conflict.

ECB preview: 25bp hike next week. We expect one more hike. Forecasts might leave the door open for a bit more. Neutral on EUR into next week's meeting. Two-sided risks.

EM Themes

China rates and FX. RMB appreciation expected to moderate, turning neutral on rates

PEN. Trip notes- About politics and macroeconomic strength

EM FX. May MSCI rebalancing

India. Strong external balance sheet, weak BoP flows

Quant & Vol Insights

We introduce a framework to monitor the regimes for x-asset implied volatility. Oil vol is currently the main driver of x-asset volatility, but FX vol is also feeding through to equities. The oil driven regime justifies the compression of FX vol, but USDJPY screens as an attractive long vol opportunity.

Technical Strategy

Seasonal trends in June differ from June in year 2 of US Pres. Cycle and from 2018 (Trump term 1 year 2). All Junes lean weaker USD, but the others favour USD.

05 June 2026

FX Research
Global

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G10 FX Strategy

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Refer to important disclosures on page 29 to 31. Analyst Certification on page 28.

Key views, forecasts and latest trades

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Exhibit 1: Our medium-term views

G10 and EM FX medium-term views

G10	We stay bearish on EUR-USD in the near term, with our end-Q2 forecast at 1.14. Persistently higher energy prices present stagflationary impulses globally and slower US-Euro area growth convergence. Beyond the near term, the USD still needs to contend with possible downside risks to the US labor market, private credit, and re-emerging fiscal risks. Further out, the implications of the evolving geopolitical landscape should continue to raise questions over optimal USD exposures. We forecast EUR-USD at 1.20 by year-end – conditional on no Fed hikes, energy normalization, and gradual US-Euro growth convergence. Our structural JPY view has turned neutral, given the improvement in Japan's structural flow dynamics – we forecast USD-JPY at 152 by end-2026 (156 end-Q2). We have turned constructive on GBP, seeing political and fiscal risks as better priced. We are turning more bearish on AUD/NZD, partly on positioning. SEK remains our preferred de-escalation hedge, and we still like fading NOK rallies, on the basis that the 'sweet spot' scenario of high energy prices and positive risk sentiment is not easily sustained.
EM	EM FX performance remains very mixed with Asia FX clearly underperforming with only MYR and CNY sustaining year-to-date gains. We anticipate a weaker USD in H2 as the tension dissipates and favor long CNY and MYR in Asia, and underperformance in THB and IDR. ZAR remains the best hedge given its high beta to the Iran situation. In Latam, BRL, despite its strong performance, remains cheap vs the major improvement in its terms of trade, and the same is true for NGN EMEA FX. Among CEE FX, HUF has hugely outperformed its terms of trade thanks to the elections but has more room.

Source: BofA Global Research

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Our key forecasts

Exhibit 2: Key BofA G10 and EM FX forecasts

Forecasts as of 4-Jun-2026

(EOP)	YE 2023	YE 2024	YE 2025	1Q 26	2Q 26	3Q 26	YE 2026	YE 2027
EUR/USD	1.10	1.04	1.17	1.16	1.17	1.17	1.20	1.25
USD/JPY	141	157	157	158.72	159	154	152	145
GBP/USD	1.27	1.25	1.35	1.32	1.35	1.39	1.43	1.51
AUD/USD	7.00	0.63	0.67	0.69	0.72	0.74	0.74	0.73
USD/CNY	7.10	7.30	6.99	6.89	6.90	6.80	6.70	6.60
USD/BRL	4.92	6.21	5.50	5.18	5.00	5.00	4.95	4.75
USD/INR	83	86	90	94.81	96	97	98	99
USD/ZAR	18.36	18.84	16.54	81.35	16.60	16.50	16.00	16.00

Source: BofA Global Research. Forecasts as of 4 June 2026

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What we particularly like right now

Exhibit 3: Our latest G10 and EM FX trade recommendations

What we particularly like right now

G10	
<u>Sell EUR via 3m 1.15/1.13 put spread</u>	We tactically sell EUR on diverging US-EA data, upside energy risks, and technicals
<u>Sell 3mth EUR/GBP risk reversal</u>	Vol-adjusted skew is elevated but lacks high-frequency political noise to remain at current levels
<u>Sell EUR/SEK via 3m risk reversal</u>	SEK has lagged high-beta FX post-ceasefire. Also given a strong domestic backdrop, it is our preferred de-escalation hedge
<u>Buy USD/CAD</u>	Near-term bullish USD as the war drags on; fundamentals don't support BOC hikes priced in. Techs: MACD signals breakout
<u>Buy 3m 11.45/11.65 EUR/NOK call spread</u>	EURNOK shorts are crowded. We would expect EURNOK higher in scenarios of fast de-escalation or weakened risk sentiment
EM	
<u>Enter short THB vs. long KRW</u>	KRW AI Capex boom and THB 2Q weak seasonality favors lower THB/KRW
<u>Long PEN vs short basket CLP & MXN</u>	PEN is looking attractive relative to Latam FX peers and its domestic bond
<u>Long USD/IDR call spread</u>	Buy USDIDR 17.7k/18k 3m call spread to capture upside on weak IDR, leveraging low implied vol and persistent upside skew
Source: BofA Global Research estimates	

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For a complete list of our open trade recommendations, as well as our trade recommendations closed over the last 12 months, please see pages 22-26.



Week ahead

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In focus next week

US CPI (Wed). **ECB** (Thu). **BoC** (Wed). **UK** GDP (Fri). **NO** CPI (Wed)

Other events by region:

- AMRS – **US** PPI (Thu), Michigan (Fri), Fed blackout.
- Europe – in the **EA**, German factory orders (Mon). In **Sweden**, Riksbank business survey (Tue), final CPIF (Thu). In **Norway**, regional network survey (Thu).
- APAC – **JP** 1Q GDP (final, Mon)

Source: Bloomberg. Last updated: 4-Jun-2026. The days are indicated according to London time.

G10 central bank calls

Exhibit 4: BofA G10 Central Bank calls

ECB and Bank of Canada are meeting next week

Country	Current	Next	Our call	BofA YE 26 (bp)	Priced YE 26 (bp)	Narrative
US	3.63%	17-Jun	3.63%	0	+17	We no longer expect the Fed to cut rates this year. We have pushed the two cuts in our forecast out from Sep-Oct '26 to Jul-Sep '27. The terminal rate stays at 3.0-3.25%. We think Warsh will push for lower rates, but the data flow precludes cuts for now. However, cuts should be in play by next summer, with inflation much closer to target
Eurozone	2.00%	11-Jun	2.25%	+50	+65	We expect 25bp rate hikes in June and July 2026 to a depo rate of 2.50%. We think cuts will follow in 2027, quarterly and starting in June, with a terminal rate at or below 1.5% in 2028, if not earlier. We think that no ECB hikes are more likely than more than the two hikes we expect in our base case.
Japan	0.75%	16-Jun	1.00%	+50	+46	We continue to expect the next BoJ hike in June. Beyond that, we tentatively expect subsequent hikes in Oct-26, Mar-27, and Jul-27 to a 1.75% terminal. If the BoJ's economic and price projections are realized over the coming years, however, the risk is that the Bank continues hiking into 2028, taking the terminal rate above 1.75%.
UK	3.75%	18-Jun	3.75%	+50	+45	We expect the BoE to hike in July and September (vs June and July before) to 4.25%, with risks of one hike as before.
Canada	2.25%	10-Jun	2.25%	0	+24	We continue to think that weak activity (we continue to estimate a negative output gap) and anchored inflation expectations support a prolonged-on hold stance.
Australia	4.35%	16-Jun	4.35%	0	+24	We retain our call for a hold through to mid-27.
New Zealand	2.25%	8-Jul	2.50%	+25	+75	We revised our call and now expect a 25bps hike in July given limited near-term data to dissuade the MPC's hiking bias. A follow-up hike in September is a close call, but we expect weak activity will outweigh inflation risks, keeping the OCR on hold at 2.5%.
Switzerland	0.00%	18-Jun	0.00%	0	+12	Rate changes look unwarranted as long as the inflation outlook remains within the SNB's 0-2% target band (even with temporary deviations), and the medium-term picture is little changed, with inflation gradually drifting higher
Norway	4.25%	18-Jun	4.25%	0	+27	Norges Bank's May hike was slightly surprising. This move increases risks of a back-to-back hike in June if inflation surprises to the upside, but that's still not our base.
Sweden	1.75%	17-Jun	2.00%	+25	+30	Under our base case of a protracted energy shock, with the ECB likely to hike twice to 2.50% by June/July, We think the Riksbank will ultimately have to move as well, albeit to a lesser extent than the ECB. Our base case is June, but risks are tilted toward a delay.

Source: BofA Global Research. Forecasts and market pricing as of 4-Jun-2026.

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The view

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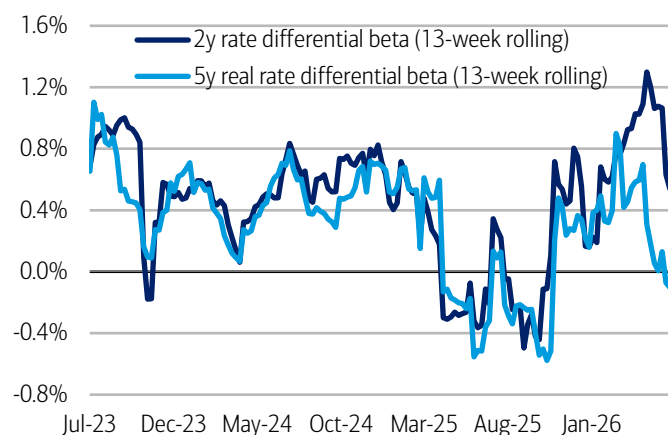
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G10 FX: getting real

FX strategists spend inordinate time assessing which rate differential matters most for currencies at any given point. But as Exhibit 5 shows, the sensitivity of USD to different tenors and types of rates is often similar. In this context, the recent decoupling stands out: over the past three months, USD's beta to 2y nominal rate differentials has not been statistically significant; instead, 5y real rates are more influential with 10bp widening associated with ~0.5% appreciation in USD.

Exhibit 5: Beta of USD vs. 2y nominal and 5y real rate differentials

FX attuned to perceived risk of rate hikes being a policy mistake...

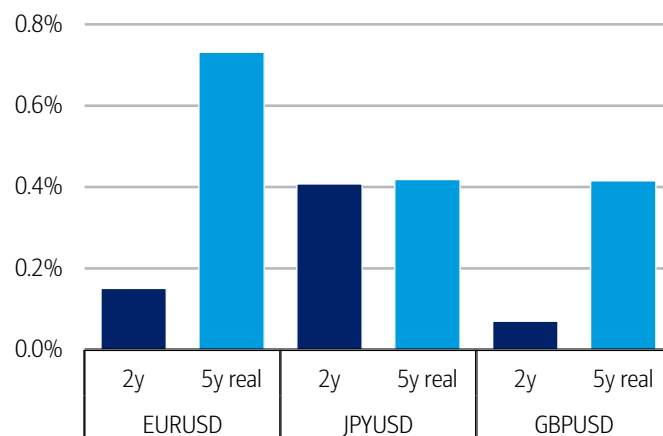


Source: Bloomberg; USD = reduced DXY basket vs. EUR, JPY, GBP; Beta = % move in USD associated with 10bp widening of US rate differential

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Exhibit 6: 2026 YTD beta of xxx/USD vs. 2y nominal and 5y real rate differentials

... especially for EUR and GBP. Less obvious decoupling for JPY where the risk is behind-the-curve BoJ



Source: Bloomberg

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This is consistent with our broader argument that policy mistake risk, i.e. hiking rates in response to a supply shock, has been the dominant driver of exchange rates (see report: [Rates lose rhythm 20 March 2026](#)). Starting points in terms of output gaps, policy restrictiveness and energy exposure are key. Belly real rates are a better proxy of policy mistake risk than front-end rates, so the decoupling of betas is not a surprise. But understanding this is especially important ahead of key central bank meetings in coming weeks.

- The ECB epitomizes this dynamic, having strongly signaled a rate hike at next week's meeting, but risks demand destruction that has restrained EUR appreciation. EURUSD has the highest beta to 5y real rate differentials among the major currencies (Exhibit 6). We expect the ECB to hike 25bp and the forecasts to skew hawkish. But this is unlikely to support EUR near-term. A more positive medium-term scenario for EUR is plausible if inflation proves persistent due to second-round effects. In this case, a preemptive ECB may reinforce its credibility vs. other, more ambivalent, central banks.
- US real rates have risen vs. other major economies due to the resilience of the consumer and labour market following the energy shock, which also suggests policy rates are not as restrictive as commonly assumed. Unlike the EUR, the dollar has benefited from the pricing of a Fed hike. We think there is room to price more tightening on US data & the shift in Fed rhetoric, although Warsh's view at the June



FOMC will be key. For now the balance of risks continue to favour short EUR/USD, especially given our expectation for a strong US employment report.

- The UK's starting point is arguably than the Euro's, as policy rates are more restrictive; yet real rates have risen and GBP has been resilient despite the background political ructions. This is partly explained by positive UK data surprises recently (in contrast to the Euro area), as well as evidence of foreign demand for UK assets. A more reactive approach from the BoE (not hiking in June) may ultimately serve GBP well, given its heightened sensitivity to real rates. We stay short EURGBP via risk reversals.
- JPY stands out having roughly equal sensitivity to front-end nominal and belly real rates (Exhibit 6). In contrast to other central banks, BoJ risks behind-the-curve monetary policy. In our view, we may be sufficiently close to pain thresholds in USDJPY and JGB yields for Japan policymakers to pivot toward a more prudent fiscal/monetary stance. June will be a critical month to see if the BoJ hikes and the government can restore fiscal credibility through its "Basic Policy" framework, without compromising the growth outlook. The hurdle is high but, if delivered, it would convince us to be more constructive on JPY

EM FX - Diverging fiscal risk premia

Amid the equity euphoria, it is worthwhile taking stock of local EM bond performance this year, especially given the steady rise in long-end G7 yields and concerns over global debt sustainability. Local currency EM bond yields are trading at 6.82% (according to BofA ICE LDMP index) relative to 3.68% for G7 bonds, the tightest seen since 2007.

One flattering EM argument is that G7 debt dynamics are converging more towards EM metrics, justifying the tighter spreads. However, it would be naïve to think that there are no potential negative spillovers for EM. The rolling 5-year correlation of weekly returns (capturing the complete business cycle) between G7 and EM local bonds are at an all-time high 60%. In particular, the combination of markets pricing in policy rate hikes, coupled with an anticipated inflation shock spells trouble for both EM and G7.

A geographical breakdown of EM local debt year-to-date total returns in USD shows Asia suffering the most with a negative 3.1% return. This is due to the double whammy of a negative terms of trade shock and sizeable fuel subsidies and fiscal transfers that are weighing on bond supply. By contrast, Latam is up by 7.5% on its commodity exports, while EMEA is delivering a 3.8% year-to-date gain in dollar terms.

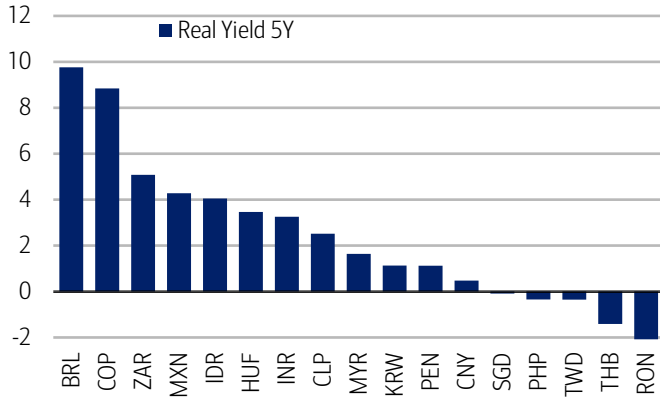
Fiscal risk premium: Low in Asia, while Latam rewards

The two broader questions are whether this yield compression between G7 and EM is justified and whether the divergence between Asia local bond negative returns can sustain relative to positive gains in Latam and EMEA.

The answers to these two questions are complex, but the brief simplified answer is that EM yield compression relative to G7 can be sustained by Latam and EMEA (barring a Fed hike cycle). Exhibit 7 shows that 5yr real yields remain attractive for key markets in Latam and EMEA, while they are predominantly negative for Asia. Additionally, looking further out on the horizon for relative bond premium returns in compensation for fiscal risks shows Brazil, Colombia, Mexico and S. Africa more favorably relative to Asia. See Exhibit 8, BofA expected EM 10yr real yields plotted against their respective fiscal deficit positions.

Exhibit 7: EM 5yr real-yields' large divergence; BRL most attractive

Real yield on 5y bonds vs current inflation across EM (%)

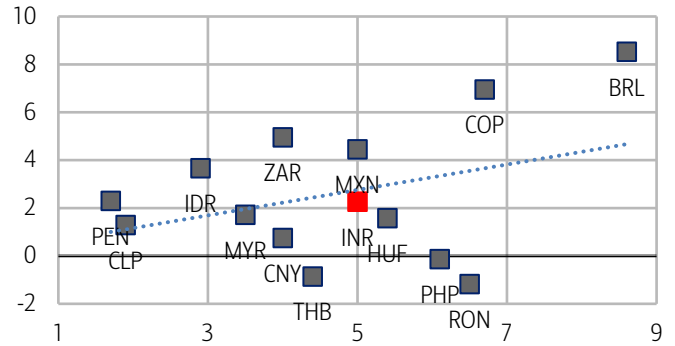


Source: BofA Global Research, Bloomberg

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Exhibit 8: INR real yields roughly in line with fiscal deficit (central government), without much premium for widening risk

Real yields on 10y bonds (% , y-axis) using BofAe 2026e inflation vs BofAe fiscal deficit for 2026 (% of GDP, x-axis)



Source: BofA Global Research, Bloomberg

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G10 Themes

Euro: gas half full

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Link to the full report: [FX Viewpoint: Euro: gas half full 04 June 2026](#)

Near term we remain cautious on EUR

EUR positioning and sentiment have clearly moderated. For now, we remain bearish: 1) energy price futures remain skewed towards optimistic scenarios; 2) EA data are likely to remain weak in the near term, given Europe's vulnerability to energy prices and more limited exposure to AI. Our medium-term EUR view remains largely constructive. For EUR-USD, levels below our 2Q forecast of 1.14 would be an opportunity to raise USD hedges, on eventual growth convergence, Iran normalisation, and supportive valuations.

Still, EUR is slightly weaker than history would suggest

Our near-term caution does not imply that EUR price action this year is out of sync with other markets. EUR screens as overvalued vs. NZD but undervalued vs. NOK, AUD, USD, and JPY. Commodity prices have contributed to broad EUR weakness and, for all the ECB hiking discussion, relative central bank pricing has only helped EUR vs. JPY and CAD.

Much bearishness is already in the price

In rates, European bond yields have declined since the start of the war. In equities, "hype" around German infrastructure and European defence spending has been overshadowed by AI. Both European and US equity investors appear bearish.

ECB - independence vs dominance

EUR can be supported by an ECB seeking to preserve its inflation credentials, particularly given question marks elsewhere. But this is conditional on no ECB overreaction - our base case is that potential ECB hikes are temporary. Structurally, ECB efforts to strengthen EUR's global role also support our constructive medium-term view.

Growth convergence postponed, not cancelled

We expect gradual normalisation in energy markets and a pick-up in EA growth into 4Q. In this context, we have been encouraged by the recent downward revisions to our gas forecasts. In relation to the impact of Germany's stimulus, our equity analysts note that, after a disappointing 2025, the 2026 outlook leaves limited scope for downside. More broadly, fiscal hopes in the EA stand in contrast to fiscal concerns elsewhere in G4.

Flows: have turned against EUR. Vol: range bound markets

We see the pain trade as EUR higher although we do not view EUR shorts as crowded. Relative equity flows have turned against the EUR, while the FX hedging theme has lost traction, with Danish asset managers reversing some of their 2025 adjustments. In vol investors are looking for a catalyst for break recent ranges. Optimism on the EUR has clearly moderated and medium-term conviction on EURUSD appears low.

Risks & what to watch

Reforms pose the main upside risk for EUR. Persistently high energy prices, an overly hawkish ECB, and French politics/fiscal are downside risks. We discuss key events ahead.

FX trip notes from Europe

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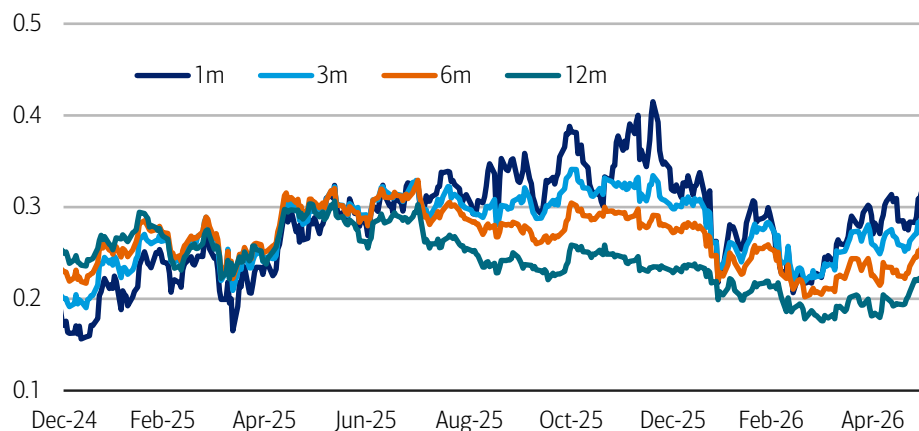
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Link to the full report: [Liquid Insight: FX trip notes from Europe 02 June 2026](#)

- Feedback from EU meetings. Caution on Hormuz reopening, if temporary. More EURUSD bears than bulls but shorts not crowded.
- Fed's next move a hike but sufficiently priced? US exceptionalism obscures, does not eliminate, need to diversify over time.
- ECB hikes not seen as positive for EUR. No appetite to fade bearish JPY consensus. GBP not the best expression for UK bears.

Exhibit 9: Vol-adjusted USD hedge cost for EUR investors

Hedge cost has narrowed but less so in vol-adjusted terms



Source: Bloomberg

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Hot takes from the heatwave

Feedback from two weeks of meetings with European clients. There is caution on a temporary Strait of Hormuz reopening, consistent with limited follow-through in FX. More bears than bulls on EURUSD, although positioning may not be as skewed as views. Fed's next move more likely a hike than cut but may already be sufficiently priced. US growth & equity "exceptionalism" obscures but does not eliminate the need to diversify USD exposure over time. Most believe ECB rate hikes will not support EUR, consistent with lagging real rates. Reluctance to engage in JPY longs and short GBP not viewed as the best expression for UK bears.



GBP: A bid for UK plc

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Link to the full report: [Liquid Insight: GBP: A bid for UK plc 01 June 2026](#)

- UK has a persistent BoP problem which has been perceived as a medium term drag on GBP & valuation
- However, UK experiencing a surge in inward M&A, concentrated in AI, biotech & finance rather than traditional industries
- UK FDI mix is shifting toward higher productivity/capital intensity. Whilst not immediate, should be GBP supportive in l/term

Exhibit 10: Net UK M&A Inflows, 12mth rolling sum, \$bn

Sharp increase in inflows into UK. Cross-border flows, where cash is involved



Source: BofA Global Research, Bloomberg

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UK enters the brave new world

Whilst investors have remained focus on the UK's fragile public finances, the second part of the "dual deficit" narrative, the balance of payments, has been largely overlooked. Admittedly, whilst global balance of payments data has been impacted by several shocks over the past decade, the UK's issues date back to Brexit amid question marks over the attractiveness of the UK as an FDI destination. Yet, as the AI revolution is still seen as a US phenomenon, the UK has emerged as an attractive destination for AI-linked inflows on top of well-established financial services and biotech influx from overseas. Whilst this may not immediately translate into a healthier BoP position, it perhaps provides a reason why GBP has been resilient against the backdrop of ongoing political uncertainty. Further out, a higher productivity/capital intensive mix of FDI inflows should be seen as a medium-term positive for GBP valuation trends.

G10 FX flows & positioning: USD demand vs JPY and EUR since end-Feb

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Link to the full report: [FX Watch: G10 FX flows & positioning: USD demand vs JPY and EUR since end-Feb 02 June 2026](#)

USD demand vs JPY and EUR stands out since end-Feb

USD buying vs JPY and EUR has been the key theme in G10 FX flows since the start of the Middle East conflict (Exhibit 11). Notably, options and futures flows have continued to support the USD even post-ceasefire, likely reflecting strong US data. Our positioning signals point to risks around AUD longs and NZD, JPY, and GBP shorts. EUR positioning appears light and, within G4 FX, we tactically favour USD longs against it.

FX Options: USD and SEK demand vs EUR, GBP, and AUD

Flows in near-dated FX options since Feb 27 have supported USD and SEK vs EUR, GBP, and AUD. Notably, this was the case both before and after the April ceasefire. While USD longs are not stretched, GBP shorts may well be.

Futures: USDJPY demand stands out

USDJPY demand has been the main highlight within futures flows since Feb. Besides JPY supply, TFF data also show strong supply of CAD and, to some extent, of EUR. However, Asset Managers' EUR longs still stand out vs history.

Up/down vol & risk reversals: Increased USDJPY longs

Price action indicates investors are very long NOK, USD, and AUD, and short JPY and CAD. Skew also suggests that investors are significantly more positioned for USD upside vs. pre-war, while they see more downside in JPY, EUR, and CHF.

Equity flows have put pressure on EURUSD

Recent equity flows have turned very favourable for USD (and CAD) and unfavourable for the EUR, appearing disconnected from the recent price action.

Exhibit 11: Investors have bought USD and sold JPY and EUR since the war broke out

Change in positioning since February 27th (currencies ranked from most sold to most bought)

	TFF LF	TFF AM	FX Options	Risk reversals	Up/down vol
JPY	(10.39)	(21.46)	3.95	(0.07)	(0.30)
EUR	(3.96)	(9.42)	(23.68)	(0.10)	0.02
CHF	(10.16)	17.43	(14.47)	(0.13)	(0.08)
NZD	(0.45)	0.31	(20.62)	0.01	(0.50)
CAD	2.45	(40.64)	7.48	(0.01)	(0.38)
GBP	(5.60)	6.47	(24.43)	(0.00)	0.17
AUD	(5.22)	2.05	(21.56)	0.01	0.15
SEK	-	-	24.00	(0.05)	0.02
NOK	-	-	(14.74)	(0.03)	0.57
USD	7.34	15.78	23.52	0.08	0.07

Source: BofA Global Research, Bloomberg. We show changes in positioning levels the past 4 weeks. We standardize positioning levels for TFF LF, TFF AM, and FX options between -50 (max short) and +50 (max long). We use 3-month 25d vol adjusted risk reversals vs USD, adjusting signs where needed. Up/down vol compares G10 FX vs USD volatility on up vs down days

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ECB Preview

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Time for the well telegraphed hike

We expect the ECB to hike all three policy rates by 25bp next week. With the energy price shock a bit larger than initially incorporated in the March forecasts (which already included a June hike), more long lasting, and with (slightly) more persistent energy price effects, the natural slope is for the ECB to deliver a quite well telegraphed hike.

New forecasts will show a bit less growth and more inflation in the near term but, crucially, still show inflation back to target by the end of the forecasting period. With roughly three hikes now incorporated in the baseline, the message will likely come out as a bit hawkish vs March, suggesting two hikes is still a reasonable base case, but leaving the door open to do more rather than less in case of doubt.

Those hikes and forecast changes will likely come with no major changes to the written or verbal guidance. We expect communication to keep a hiking bias, even if implicit, given the more persistent shock, but beyond that we would expect an emphasis on uncertainty, data-dependence, no pre-committing, and the need to decide meeting by meeting.

Where do we go next?

As a reminder, we pencil in rate hikes in June and July 2026, 25bp each. Whether the second hike happens in July or September will depend on where energy prices are by then. July needs a sense of urgency. Oil prices close to \$90 could delay that hike to September. At the same time, the latest inflation print increases the odds of July if some of the move in Services proves not to be temporary.

Cuts will need to follow, eventually. Our macro view holds firm: the path to sub-2% inflation is delayed, but all macro ingredients remain in play: a shallow recovery at unspectacular levels, with a very fragile and non-inflationary labour market, suboptimal fiscal policy, and central bank policy that always errs on the tight side. That still implies ECB policy rates returning to current levels at most by end-27 (1.75% in our base case).

Forecast update signal: one and not done

We expect the ECB to give an update on its scenario analysis, but struggle to second guess the ingredients of the forecast, ie the cut-off date for technical assumptions for the base case, or their design for the alternatives. The main differences compared to the March base case lie in oil prices and market pricing of the ECB trajectory itself. We assume two alternatives for the ECB forecasts:

“Regular” June forecast cut-off => hawkish signal

A regular forecast exercise would put the cut-off date for technical assumptions roughly three weeks ahead of the meeting, ie 20 May. Synthetic energy prices (ie the weighted average of oil and gas) were c 14% above the March base case in 2026 and still 8-9% higher in 2027/28 into that cut-off period, mainly due to oil prices. Compared to the ECB’s “adverse” scenario, that would be c 10% lower for this year, but still 8-9% above the 2027-28 trajectory. Meanwhile, the market has priced a more hawkish ECB compared to March. A “regular” cut-off on 20 May would imply market pricing of close to 80bp of policy rate hikes – twice what was included in the March scenario.

A somewhat lower oil price this year than in the “adverse scenario”, but with greater persistence, brings elements of the “severe” scenario into play. But more demand

destruction and more ECB hikes priced should, to our mind, mean inflation back on target in 2028 on an annual average basis.

True, that would imply the ECB giving the “nod” to more than 50bp of hikes. But we would caution against taking that at face value. The downward slope in core inflation would be much steeper to get to target, on average, in 2028, and most likely imply end-28 quarterly core inflation below 2%. That, to our mind, would be the ECB’s way of flagging that three hikes or more is not unthinkable, but probably a bit too much.

Exhibit 12: That means less growth, higher inflation, but still a return to target on more ECB rate hikes priced by markets

Forecast of ECB growth and inflation forecasts

	Mar-26				Jun-26 (exp)		
	2025	2026	2027	2028	2026	2027	2028
Real GDP	1.5	0.9	1.3	1.4	0.7-0.8	1.2	1.3-1.4
HICP	2.1	2.6	2.0	2.1	2.9-3.0	2.2-2.3	2.1
ex food & energy	2.4	2.3	2.2	2.1	2.4-2.5	2.3-2.4	2.0-2.1

Source: BofA Global Research

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Exhibit 13: An alternative cut-off this week includes peace deal hopes but still higher energy prices than in the March base case

Technical assumptions under a 20 May vs 3 June cut-off date, incl implications for macro forecasts.

	Jun base case (exp)				Jun alt (exp)		
	2025	2026	2027	2028	2026	2027	2028
Technical assumptions							
Oil (USD)	69.1	97.6	82.1	77	89.5	79.4	75.8
Gas (EUR)	36.2	45	36.4	27.2	44.4	36.7	27.4
Macro variables							
Real GDP	1.5	0.7-0.8	1.2	1.3-1.4	0.8-0.9	1.2	1.4
HICP	2.1	2.9-3.0	2.2-2.3	2.1	2.7-2.8	2.1-2.2	2.0-2.1
ex food & energy	2.4	2.4-2.5	2.3-2.4	2.0-2.1	2.3	2.3	2.0-2.1

Source: BofA Global Research

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Very late cut-off date including peace deal hopes

We wouldn’t rule out the ECB repeating the same exercise it did into March: a more recent cut-off date with a shorter reference period, ie the three days into 3 June for technical assumptions. This would be a way to incorporate market repricing on the back of peace deal hopes.

Synthetic energy prices would still be c 7% above the March base case for 2026-28. And market pricing closer to 70bp. The difference would not be huge, but the implied signal probably still relevant. We would expect slightly less growth damage this year, a lower (core) inflation peak and end-point inflation at or below target in this context.

Overall, the message would still skew hawkish, with two hikes more or less the base case and an inclination to perhaps do more rather than less in case of doubt. We still see such an outcome as ultimately unlikely, but it would be a forecast-implied message akin to that of the “severe scenario” in March.

EUR: neutral into the meeting, with two-sided risks

We are neutral on the EUR as far as the upcoming ECB meeting is concerned, seeing risks in both directions, given current market pricing of c. 65bp of rate hikes by year-end. Market reaction will also depend on which cut-off the ECB uses for its forecasts and of course the guidance it offers. Balanced guidance would be EUR’s ‘sweet spot’.

Overall, we think EUR can be supported by an ECB seeking to preserve its inflation credentials, particularly given question marks around other central banks. However, this would be highly conditional on the ECB not overreacting to inflation – we and several investors remain concerned about a potential ECB overreaction (see report: [FX trip notes from Europe 2 Jun '26](#)).

Monetary policy aside, ECB efforts to strengthen EUR’s international role supports our constructive medium-term EUR view. But, in the near term, we maintain a bearish EUR bias, viewing energy futures as overly optimistic and expecting Euro area data to remain weak over the summer (see report: [EUR Viewpoint 4 Jun '26](#)).



EM Themes

China rates and FX – the path less travelled

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The following piece is an abridged version of [Emerging Insight: China rates and FX – the path less travelled 02 June 2026](#).

China – idiosyncratic stories dominating global trends

Since the onset of Middle East crisis, the global rates market has undergone an almost synchronized repricing toward tighter monetary policy, propelled by rising inflationary pressure. Within EM Asia, Bank of Indonesia has delivered a larger-than-expected 50bp rate hike in May, while Bank of Korea also clearly signaled last week that policy tightening is forthcoming. In the FX market, most EM energy importers have faced depreciation pressure to varying degrees, reflecting deteriorating Current Account balances and/or capital outflows.

China, however, has stood out as one of the few markets where idiosyncratic factors have dominated global trends. Following the initial disruptions from the Middle East conflict, RMB continued to strengthen against the USD, while China rates quickly resumed its downward trajectory. We think China's ample energy reserves, subdued inflation backdrop, and relatively low foreign participation in domestic markets have collectively helped insulate its markets from global developments.

USDCNY continues to be driven by FX flows

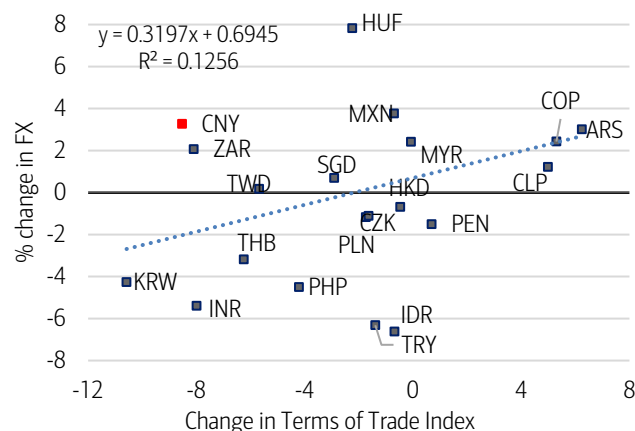
On FX, CNY has appreciated by 3.3% vs USD ytd, outperforming regional peers and largely disregarding the terms-of-trade headwind (Exhibit 14). We think robust external demand for Chinese goods and corporates' enhanced willingness to conduct FX conversion will remain the key drivers of RMB strength (Exhibit 15). In comparison, portfolio flows tend to have a smaller influence on CNY FX given low foreign ownership of China assets and the managed nature of domestic outflows. Over the past year, bullish views on RMB and rising USD supply from exporters have become mutually reinforcing – a feedback loop that we think unlikely to break unless DXY moves meaningfully higher into 102-105 range alongside higher Fed policy rates.

Over the next two months, we expect RMB appreciation to moderate, as the peak dividend payment season leads to higher FX demand (see report: [Emerging Insight: CNY - dividend payments to ease appreciation pressure](#)). In addition, a further decline in the USD/CNY spot rate, driven by one-way appreciation expectations, may prompt countercyclical measures from the PBoC. In late-February, the central bank removed the 20% risk-reserve requirements for corporates' forward FX purchase. Another tool that can potentially be deployed would be raising the reserve requirement ratio on FX deposits (currently at 4%). A 1ppt tightening would lock in c.USD10bn funding, creating some speedbump for RMB appreciation (see report: [Emerging Insight: China – revisiting FX countercyclical tools](#)).



Exhibit 14: CNY strengthened by c.3.3% vs USD despite ToT shock

Change in ToT vs change in FX



Source: Bloomberg, BofA Global Research

Note: The change was calculated for the period between end-Dec, 2025 to end-May, 2026.

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Exhibit 15: PBoC announced countercyclical measures in late-Feb

USDCNY overlayed with PBoC FX countercyclical tool announcements



Source: Bloomberg, BofA Global Research

Note: Note: Red dots denote countercyclical measures aiming to counter RMB depreciation pressure, while green dots denote measures aiming to counter RMB appreciation pressure.

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China rates – weak credit demand pushed yields lower

Though volatility in the CGB market remains low relative to overseas markets, bond yields have slowly but surely declined. The 10y CGB yield corrected lower by about 20bp from the January peak and is re-testing the 1.7% threshold. We think the rally in China bonds was mainly driven by: 1) weak credit demand from households and corporates, 2) lower deposit rates and funding costs, and 3) lessened concern about supply and inflation.

- Loan growth has fallen further to 5.6%, as of April, exacerbating the ‘asset-scarcity’ problem faced by commercial banks. As a result, their bond investment portfolios continued to grow rapidly at around 16% yoy, even though commercial banks already bought a record amount of bonds in 2025 (see report: [Asia FI & FX Strategy Viewpoint: The supply-demand dynamics of CGBs](#)).
- Although the PBoC has kept policy rate unchanged, deposit and market rates have trended lower, improving carry for holding medium- to long-tenor bonds. The continued repricing of maturing deposits, reflecting earlier rate cuts, has reduced banks’ funding costs. More broadly, with excess liquidity lingering in the interbank market, short-term repo rates and medium-term NCD yields have drifted lower.
- CGB term premium has risen notably since mid-2025 but appear to have peaked out recently, with back-end yields now trending lower. Total net government bond issuance in 2026 is likely to be broadly in line with 2025, although the pace in the first five months has been slower. On inflation, amid the recent slowdown of growth momentum, investors seem increasingly willing to look through the supply-driven inflation uptick.

Turning neutral on China rates

With the PBoC having drained excess liquidity over the past few months, funding costs have begun to normalize, limiting further downside in yields until rate-cut expectations re-emerge. That said, we think a reversal also appears unlikely without a sustained rebound in credit demand or risk sentiment.



PEN Trip notes: About politics and macroeconomic strength

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The following piece is an abridged version of the report: Peru Watch: Trip notes: About politics and macroeconomic strength 02 June 2026.

Summary of trip: Reassuring data points and local views

We travelled to Lima with a group of institutional investors. We met government officials, politicians, and independent analysts. Investor sentiment on Peru seems positive because of recent election polls and the strengthening macroeconomic indicators (fiscal, balance of payments, economic growth). Roberto Sanchez's economic team tried to moderate his economic policy proposals during the technical debate on 24 May, but the candidate walked back partially during the final debate one week later.

Polls indicate Fujimori is leading the race

According to six pollsters (Ipsos, Datum, IEP, CPI, CIT, Imasolu), Keiko Fujimori – the conservative, right wing candidate from Fuerza Popular party – has higher chances of winning the election than the leftist candidate, Roberto Sanchez, who represents the Juntos por el Peru party. Her lead in these six polls, conducted on 22-30 May, ranges between 2.8pp and 9pp. Legally, there is a blackout period that prevents the publication of polls in the week prior to the runoff (7 June). The betting market (Polymarket) is assigning Keiko Fujimori a probability of 78% to win the election. For a deeper analysis of Peru's election, see our report: [“Latam Elections with Brazil debt and Andean policy paths in focus”](#).

Sanchez's economic team makes efforts for moderation

Between the first and second rounds of the election, Sanchez's political strategy has shifted towards moderation, presumably in an attempt to attract centrist voters. At the televised debate on 24 May, his team of economic advisers stated that under a Sanchez administration there would be macroeconomic stability, no nationalization of private companies, respect for private contracts, central bank independence, openness to Julio Velarde staying for another 5-year term as governor of the central bank, and efforts to support private investment.

But Sanchez partially walks back on moderation discourse

However, during the last debate (31 May), Sanchez sent some contradictory messages on economic policy. He didn't rule out the possibility of a Constitutional Assembly to rewrite the Constitution, which is a big risk for the Peruvian economy as we argued in a previous report (see: “The ten macro locks at stake in Constitutional Reform”).

Earmarked expenditures, repeating mistakes of peers

Instead, Sanchez criticized the 1993 Constitution for not ensuring minimum earmarked expenditures in health (9% of GDP is adequate in his view) and education (6% of GDP). Revising the recent story of LatAm peers, one can find examples of how this policy decision was conducive to budget rigidity and fiscal slippage. In 2011 Costa Rica did a constitutional reform that established an 8%-of-GDP minimum expenditure in education which – fast forward – was one of the reasons that explained by debt-to-GDP doubled in ~10 years and the country lost investment-grade status. Likewise, Ecuador has minimum earmarked expenditures – written in the Montecristi/Correista Constitution – that reduce the degrees of freedom for fiscal policy. And rating agencies are asking Panama to reform that law that mandates a 7%-of-GDP minimum expenditure in education.



May MSCI rebalancing – short USDTWD & USDKRW on 29th

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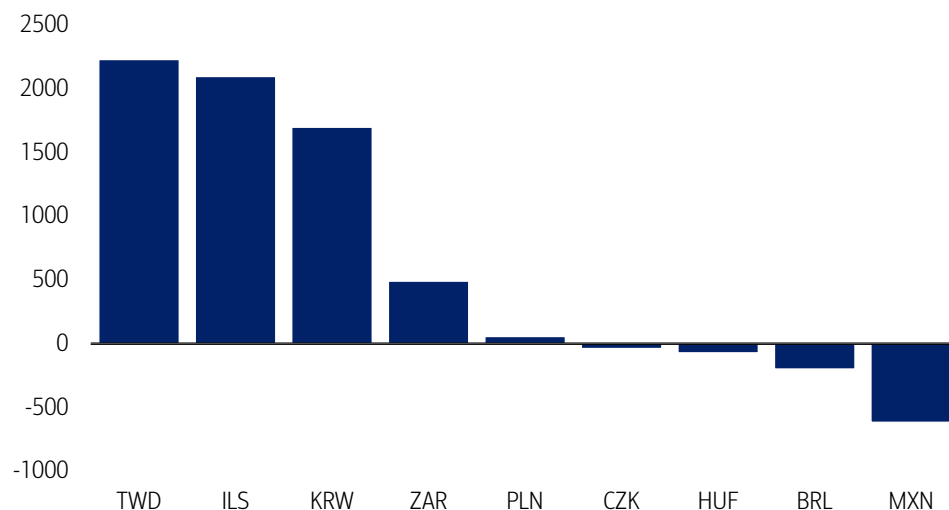
The following piece is an abridged version of [Emerging Insight: May MSCI rebalancing – short USDTWD & USDKRW on 29th 26 May 2026](#).

Key takeaways

- Our highest-conviction MSCI rebalancing trades on 29 May are short USDTWD (3-3.30pm) and short USDKRW (3.45-4pm).
- Long USDMXN between 3.15pm and 4pm should also work well. We have little conviction on ILS given low historical hit ratios.
- Further, a relative value trade of long TWD vs short MXN should perform well between 3pm and 4pm.

Exhibit 16: TWD, ILS, KRW, ZAR and MXN are likely to see the highest absolute flows

Expected net flows into EM currencies due to MSCI rebalancing on 29 May (USD mn)



Source: Bloomberg, BofA Global Research

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Highest conviction: short USDTWD and short USDKRW

Our highest convictions for MSCI rebalancing on 29 May (effective from 4pm London time) are short USDTWD between 3pm and 3.30pm, and short USDKRW between 3.45pm and 4pm. The ILS should see the second-highest flows in absolute terms, but historical hit ratios are too low to make it a high-conviction rebalancing trade. Long USDMXN between 3.15pm and 4pm should also work. Further, a relative value trade of long TWD vs short MXN should perform well between 3pm and 4pm.



India – Strong external balance sheet, weak BoP flows

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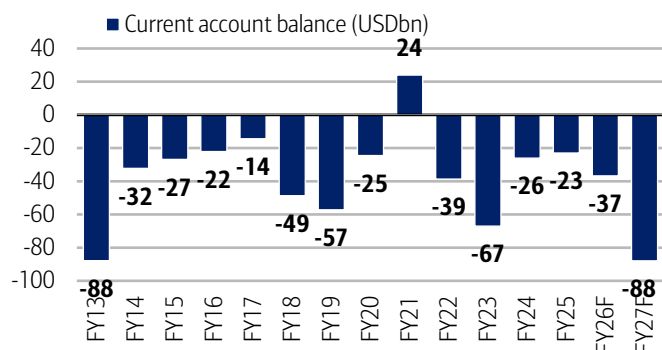
The following piece is an abridged version of [Emerging Insight: India – Strong external balance sheet, weak BoP flows 27 May 2026](#).

India's BoP problem remains visible on both counts

India's balance of payments has been impaired, partly due to structural issues on the capital & financial account, and partly driven by cyclical headwinds on the current account. Put together, these two dynamics have impaired the balance of payments flow, resulting in exaggerated exchange rate weakness, and casting doubts on the ability of the policymakers to stabilize the exchange rate.

Exhibit 17: India's current account deficit set to widen in FY27

Current account deficit may widen to a 14 year high

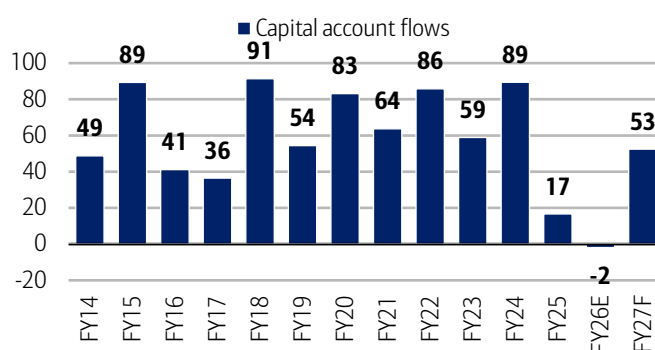


Source: CEIC, BofA Global Research

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Exhibit 18: Capital and financial account expected to rebound

A negative capital flows picture in FY26 may swing in FY27



Source: CEIC, BofA Global Research

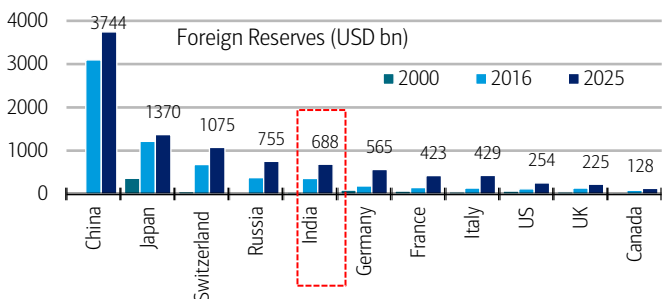
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A healthy stock position....

Despite the recent external headwinds, India has seen considerable improvement in its external balance sheet, which has improved to a 16-year high. The improvement in recent years has been driven by a reduction in liabilities, which implicitly corroborates foreign investors lightening up on Indian assets. Further, India's external balance sheets appear relatively robust when compared to their EM Peers, giving the country stability of healthy balance sheets and no major risks of impairments on account of debt maturity or fiscal risks emanating from the external flow impairment.

Exhibit 19: Foreign Reserves of large economies (USD bn)

India continues to hold the fifth largest reserves in the world

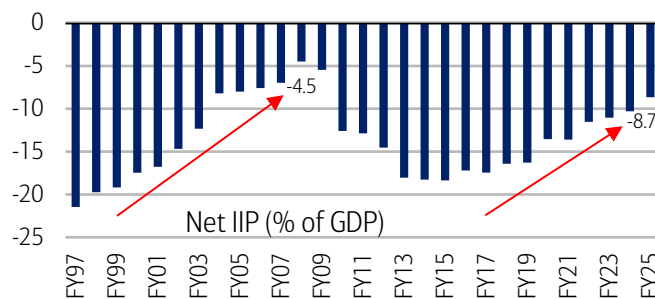


Data for China's foreign reserves in 2000 unavailable; Source: Haver, BofA Global Research

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Exhibit 20: NIIP (% of GDP)

India's NIIP position has been consistently improving since the last decade



Source: Haver, BofA Global Research

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....but a weak flow backdrop

While India's external buffers remain strong, the challenge lies in managing ongoing balance of payments flows. Policymakers can either reduce the current account deficit, which is just beyond the historical 2% threshold of stability, by slowing growth and curbing imports, or rely on capital inflows to finance it. However, compressing demand to lower the deficit comes at the cost of growth, effectively pushing India back into its long-standing Thirlwall's constraint where external imbalances limit how fast the economy can sustainably grow.

Exhibit 21: Growth sensitivity of ICOR

Assuming no change in savings and investment rate, a lower ICOR implies higher GDP growth

Gross savings		Scenario 1: ICOR at 4.2			Scenario 2: ICOR at 5.4		
		ICOR- high efficiency	Potential GCF	Potential GDP (est)	ICOR	Potential GCF	Potential GDP (est)
FY26	32.5	4.35	34.60	7.95	5.40	34.60	6.41
FY27	32.5	4.20	35.00	8.33	5.40	35.00	6.48
FY28	32.5	4.20	35.00	8.33	5.40	35.00	6.48
FY29	32.5	4.20	35.00	8.33	5.40	35.00	6.48
FY30	32.5	4.20	35.00	8.33	5.40	35.00	6.48
5Y average	32.5	4.2	34.9	8.3	5.4	34.9	6.5

Source: Haver, BofA Global Research

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Exhibit 22: CAD, ICOR, Investment rate sensitivities

Lower current account or S/I gap would imply lower potential investment rate and thereby lower GDP growth

				S/I gap or Current account balance	
ICOR		Potential GCF	Gross savings @ 33%	Potential GDP (est)	
CAD @ 2%					
High	5.5	35.00	33.0	6.36	-2.00
Low	4.2	35.00	33.0	8.33	-2.00
CAD @ 1%					
High	5.5	34.0	33.0	6.18	-1.00
Low	4.2	34.0	33.0	8.10	-1.00
CAD @ 0.5%					
High	5.5	33.5	33.0	6.09	-0.50
Low	4.2	33.5	33.0	7.98	-0.50

Source: Haver, BofA Global Research

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A better outcome can be capital flows management

In our view, a sustainable solution is to have a capital flows strategy, where the government formulates a strategy to encourage greater capital inflows, through an all-encompassing approach of taking multiple steps, rather than curating a few. These can include steps to improve debt inflows via taxation /process relief, equity inflows through incentives and more liquidity, FDI flows via greater accessibility and non-financial debt flows through easier regulations and potentially higher interest rates. Essentially the flow impairment can happen if the war ends, but a concrete strategy to attract 2-3% of GDP in capital flows every year on average for the next decade is needed to find a long-lasting solution to the problem of the rupee.



Quant & Vol Insights

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The following piece is an abridged version of [FX Vol Insight: Oil driven vol regime, bullish USDJPY vol 02 June 2026](#).

Oil driven vol regime, bullish USDJPY vol

Oil driven X-asset vol regime...

We introduce a framework to monitor the regimes for x-asset implied volatility through Granger causality tests between US equity vol, lognormal US rates vol, FX vol and Oil vol.

To monitor the dynamic of x-asset vol regimes we look at the 3m rolling frequency of positive Granger causality tests at a 5% confidence level. We summarize the current results. The current regime seems to be marked by:

1. relatively high level of Oil vol driven causality (Oil $\rightarrow$ FX = 44%, Oil $\rightarrow$ Eqty = 52% & Oil $\rightarrow$ Rates = 22%)
2. ... and a high level of FX driven causality into Equity vol (FX $\rightarrow$ Equity = 79%)

... justifies the compression of FX vol...

The current energy-driven regime largely justifies the decline in FX volatility. As markets grow more confident that a US-Iran deal is imminent, implied oil volatility has fallen sharply and would likely decline further if the proposed 60-day ceasefire extension is confirmed. This suggests that the path of least resistance for FX volatility is continued compression.

... but USDJPY vol screens as attractive

However, one pair in which we are biased to be long vol is USDJPY. In 1-3m maturities, USDJPY vol screens as among the cheapest in G10 even when the recent grind lower in realized volatility is considered (Exhibit 4). Our vol cone screener also highlights JPY crosses as the most dislocated curves in G10 (Exhibit 9 - Exhibit 14), and front-end risk premium now sits at historically low levels (Exhibit 19).

There are good reasons for USDJPY vol to be particularly compressed. The market is bullish USDJPY, but the risk of another BoJ intervention has kept the pair bounded. However, this has created a situation where the market has built up a large stock of barriers in the 160-162 range while, at the same time, it has increased its long USDJPY positioning substantially (see our report, [FX Flow and Positioning, 2 Jun '26](#)). A move outside this range would thus likely trigger a sharp pickup in vol. To the upside, this may be caused by oil prices rallying following negotiations between the US and Iran falling apart. To the downside, a more hawkish BoJ plus lower oil prices would likely trigger a sell-off.



Technical Strategy

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- Average trends in June differs from June in year 2 (Y2) of US Pres. Cycle (USPC) and 2018 (Trump Y2). All Junes lean weaker USD, but Y2 USPC and 2018 favour USD.
- The strongest June tendencies were for a weaker dollar vs CHF, AUD and BRL. USDCHF was down 77% of the time by -0.97% on average. USD fell 69% of the time vs AUD and BRL by -0.64% and -0.53%, respectively. However...
- In year 2 of the US Presidential Cycle and in 2018 (Y2 of Trump term 1), USD rallied, especially vs higher-beta currencies. On average, \$CLP +3.93% and \$ZAR +4% 100% of the time. USDCHF still fell 67% of the time in Y2 by -2.14%.

For more strong macro seasonal trends in June, please see the [Seasonality Advantage: A tale of two Junes 31 May 2026](#) report.

A tale of two Junes

When considering all Junes, average trends favour a lower USD vs CHF, AUD and BRL. The strongest hit ratio was bearish USDCHF, down 77% of the time by -0.97% on average. The dollar also fell 69% of the time vs AUD and BRL by -0.64% and -0.53%, respectively.

However USD rallied in USPC Y2, especially vs higher-beta currencies. USD was up vs CLP and ZAR 100% of the time (6 of 6 observations) by an average of +3.93% and +4%, respectively. It still fell vs CHF. June of Y2 of President Trump's first term, or 2018, mostly rhymed with all June Y2s, with a notably strong USD.

Exhibit 23: Strongest June tendencies: USD lower vs CHF, AUD, BRL. In USPC Y2: USD stronger (esp. vs EM, but not vs CHF). 2018 (Y2 Trump term 1): USD broadly rallied. Intramonth: First 10 days strong for AUD & NZD but not MXN & CLP. M10 favour USD vs SEK, INR, KRW.

Average % change and up ratio. Green denotes higher price bias. Red denotes lower price bias.

Ticker	First 10d in June	Mid 10d in June	Last 10d in June	Last 5 June- first 5 July	June	June Y2 USPC	2018 June
USD Indices: Average % change (Up ratio %)							
DXY Index	-0.06% (46%)	0.10% (58%)	-0.13% (46%)	0.06% (42%)	-0.33% (38%)	-0.43% (50%)	0.52%
BBDXY Index	-0.03% (46%)	0.09% (42%)	-0.06% (38%)	0.04% (35%)	-0.13% (38%)	0.56% (60%)	0.90%
USD / G10: Average % change (Up ratio %)							
USDEUR	-0.09% (46%)	0.16% (58%)	-0.30% (46%)	-0.05% (46%)	-0.47% (38%)	-0.51% (67%)	0.06%
USDGBP	0.00% (46%)	-0.12% (58%)	0.22% (54%)	0.35% (38%)	-0.15% (38%)	-0.76% (50%)	0.68%
USDSEK	-0.01% (58%)	0.57% (69%)	0.06% (54%)	0.08% (62%)	0.06% (50%)	-0.10% (33%)	1.47%
USDNOK	0.10% (46%)	0.55% (50%)	0.25% (62%)	0.21% (50%)	0.37% (50%)	0.69% (67%)	-0.40%
USDCAD	-0.37% (38%)	-0.05% (50%)	-0.11% (38%)	-0.23% (46%)	-0.23% (38%)	0.68% (67%)	1.35%
USDJPY	0.14% (42%)	0.05% (54%)	0.22% (46%)	0.33% (58%)	0.35% (62%)	0.25% (50%)	1.78%
USDCHF	-0.31% (38%)	-0.16% (50%)	-0.53% (38%)	0.06% (54%)	-0.97% (23%)	-2.14% (33%)	0.49%
USDAUD	-0.65% (31%)	-0.26% (46%)	0.12% (38%)	0.11% (46%)	-0.64% (31%)	1.25% (83%)	2.19%
USDNZD	-0.68% (35%)	-0.28% (50%)	0.16% (46%)	0.33% (50%)	-0.48% (38%)	1.15% (50%)	3.34%
USD / EM: Average % change (Up ratio %)							
USDMXN	1.09% (69%)	0.40% (54%)	-0.27% (42%)	-0.54% (46%)	0.23% (58%)	1.07% (83%)	-0.02%
USDBRL	0.28% (42%)	0.40% (50%)	-0.25% (42%)	0.44% (46%)	-0.53% (31%)	3.17% (50%)	4.10%
USDCLP	0.79% (69%)	0.81% (58%)	0.79% (58%)	0.18% (46%)	1.13% (62%)	3.93% (100%)	3.53%
USDCOP	-0.76% (46%)	0.58% (42%)	1.34% (62%)	0.01% (50%)	0.80% (54%)	2.25% (67%)	1.42%
USDZAR	0.85% (62%)	0.27% (58%)	-0.84% (35%)	-0.19% (46%)	-0.69% (38%)	4.00% (100%)	8.08%
USDINR	0.17% (58%)	0.46% (65%)	0.17% (54%)	-0.11% (54%)	0.45% (58%)	0.71% (67%)	1.59%
USDKRW	-0.19% (50%)	0.56% (69%)	0.03% (46%)	-0.02% (35%)	0.02% (46%)	1.31% (67%)	3.42%

Source: BofA Global Research, Bloomberg. End date is 2025. Note: FX 2000-2025 except BBDXY 2005-2025.

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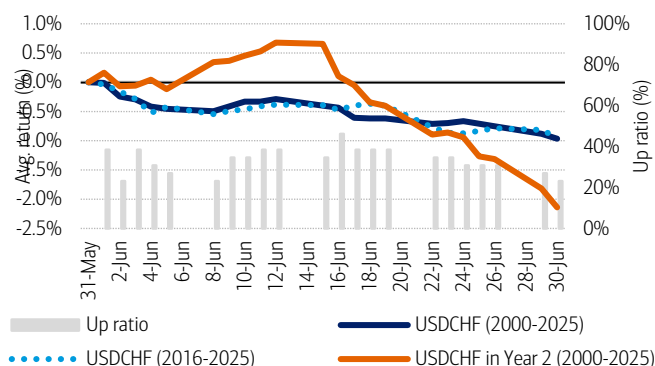
FX Trends in June

USD/CHF: June and June of USPC Y2 tended to decline, but not in 2018.

The strongest June FX hit ratio was bearish USDCHF, down 77% of the time by -0.97% on average. In USPC Y2 it was also down 67% of the time by -2.14%. Average trends since 2016 and 2000 were correlated, drifting lower with little volatility. The USPC Y2 average trend tended to be stronger in 1H, rising +0.68%, but weaker in 2H, ending down -2.14%. Median trends were similarly patterned.

Exhibit 24: USDCHF avg trends were bearish. Y2 underperformed, trending up until mid-month before reversing to end down -2.14%.

Average one-month trend from May 31 to Jun 30 since 2000 and 2016



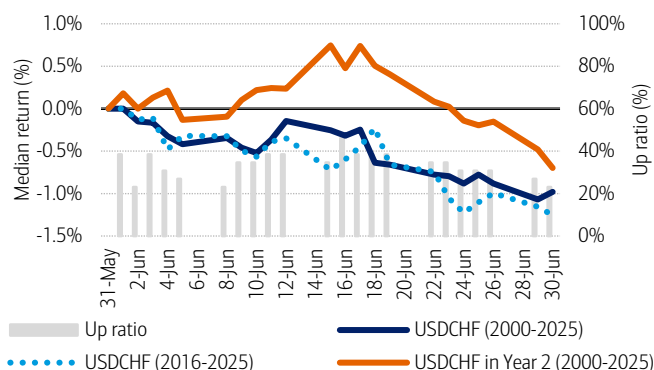
Source: BofA Global Research, Bloomberg

Note: Up ratios calculated from start of pd to end of each day ahead. USDCHF data (2000-2025).

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Exhibit 25: USDCHF median June trends also bearish, notably in 2H. Y2 median trend a bit stronger, -0.70%.

Median one-month trend from May 31 to Jun 30 since 2000 and 2016



Source: BofA Global Research, Bloomberg

Note: Up ratios calculated from start of pd to end of each day ahead. USDCHF data (2000-2025).

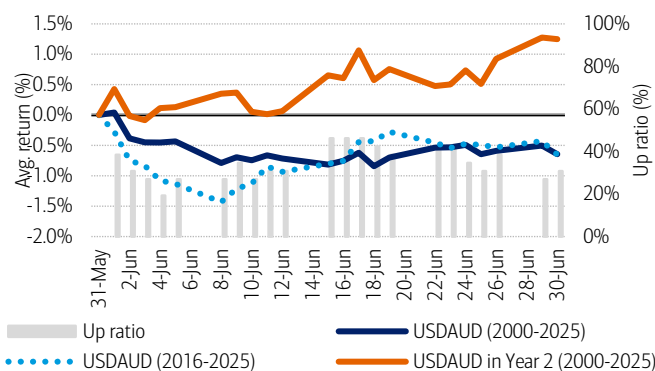
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USD/AUD: Usually down in June, but not in June of USPC Y2

Average June trends suggest a lower USDAUD bias, down 69% of the time by -0.64%. This was front loaded to the first 10 days, when USDAUD tended to fall -0.65% on average 69% of the time, then trended flat. However USDAUD was higher in USPC Y2, especially after the first 10 days, rising +1.25% on average 5 of 6 times.

Exhibit 26: USDAUD average June trend favors a stronger Aussie dollar in the F10 days. USD was stronger after F10 days in Y2.

Average one-month trend from May 31 to Jun 30 since 2000 and 2016



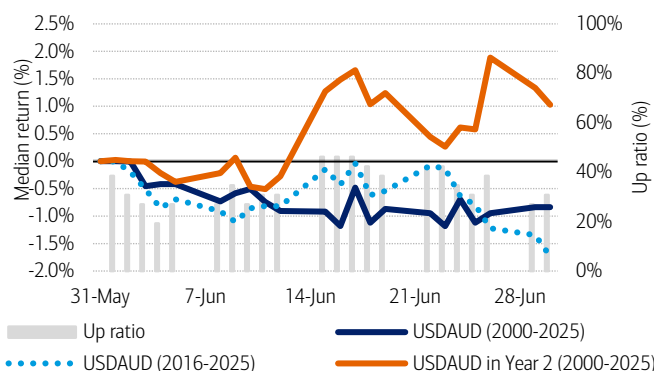
Source: BofA Global Research, Bloomberg

Note: Up ratios calculated from start of pd to end of each day ahead. USDAUD data (2000-2025).

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Exhibit 27: Median trends lean bearish in June. However USD was stronger in Y2, but also more volatile after the F10 days.

Median one-month trend from May 31 to Jun 30 since 2000 and 2016



Source: BofA Global Research, Bloomberg

Note: Up ratios calculated from start of pd to end of each day ahead. USDAUD data (2000-2025).

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Trade Recommendations G10

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Exhibit 28: Open trades G10

Current G10 FX trade recommendations. Prices as of 4-June-2026

Trade Description	Open Date	Entry Price	Expiry Date	Current Price	Rationale	Risks
Buy USD/CAD via 3m 1.41 call	30-Mar-26	0.47% (spot ref 1.3920, vol ref 5.61)	30-Jun-26	0.07%	Near-term bullish USD as the war drags on; fundamentals don't support BOC hikes priced in. Techs: MACD signals breakout	1) a quick opening of the Strait of Hormuz, 2) broader normalization in markets, or 3) a deterioration in the US growth outlook
Sell EUR/SEK via 3m risk reversal (strikes 10.60/11.0655)	7-May-2026	0% (spot ref: 10.8224, vol refs 5.8%/6.3%)	7-Aug-2026	-0.28%	SEK has lagged high-beta FX post-ceasefire. Also given a strong domestic backdrop, it is our preferred de-escalation hedge	A renewed and sustained escalation in Iran, a broader deterioration in global risk sentiment, and a more dovish Riksbank
Buy SPX > 109% / USD/JPY > 100% dual digitals	8-May-2026	10% (ref. 7360/156.73, -6 correl)	10-Sep-2026	-	Upside momentum in equity markets, negative SPX-USDJPY correlation (realized correl @ 4 th %ile) providing an attractive entry point, likely consolidation of USDJPY in a lower vol regime	Premium paid, a meaningfully more hawkish BoJ
Sell EUR/GBP via 3m risk reversal (strikes 0.8735/0.8653)	20-May-2026	0% (spot ref 0.8650, vol refs 4.8%/4.6%)	20-Aug-2026	0.07%	Bar is high for a continuation of incessant news flow so political risk premium should get priced out, yet skew remains excessively in favour of EUR/GBP calls	Higher pricing of GBP risk premium on the back of more political uncertainty
Buy 3m EUR/USD put spread (strikes 1.15/1.13)	20-May-2026	0.3591% (spot ref 1.1610, vol refs 6.22%/6.72%)	20-Aug-2026	0.29%	Diverging US vs Euro area data, rate differentials have room to run, euro is forming a head and shoulders top, DXY Golden Cross signal remains bullish, DXY tracking 2016-2018 cycle = 2018 summer rally, oil upside risks remain.	US-Iran deal that quickly reopens the SoH, summer seasonality that tends to modestly support euro and/or softening US data

Source: BofA Global Research. See reports for each trade under trade description.

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Exhibit 29: G10 FX Closed trades

Recently closed trades in G10 FX.

Trade Description	Entry date	Entry Level	Target	Stop	Close date	Level closed
Buy 3m EUR/NOK call spread (strikes 11.45/11.65)	5-Mar-26	0.4345%	-	-		5-Jun-26
Sell GBP/USD	23-Mar-26	1.3420	1.3000	1.3850	14-May-26	1.3397
Buy AUD/NZD	26-Mar-26	1.1960	1.25	1.17	28-Apr-26	1.2177
Buy 3m EUR/USD 1.22/1.2350 call spread RKI 1.2550 (barrier on 1.2350 leg)	28-Jan-26	0.35% (spot ref: 1.2000)			28-Apr-26	Expired OTM (spot ref: 1.1712)
Buy 3m NZD/USD put spread	16-Jan-26	0.3349% (spot ref: 0.5744)			16-Apr-26	Expired OTM (spot ref: 0.5890)
Buy 3m EUR/CHF risk reversal	5-Mar-26	Zero-cost (spot ref 0.9060, strikes 0.9155 / 0.8831, vol 5.27 / 6.0)			31-Mar-26	1.175% EUR (spot ref 0.9250)
Buy NOK/SEK	16-Dec-25	0.9133	0.93	0.9030	5-Feb-26	0.93
Buy 6m 1.23-strike EURUSD digi call	21-Nov-25	10.6% (spot ref 1.1530, vol ref 6.3)			28-Jan-26	34.8% (spot ref: 1.2025, vol ref 8.2%)
Buy 3m AUD/USD 0.61 one-touch	21-Nov-25	22.5% (spot ref: 0.6450)			16-Jan-26	3.5% (spot ref: 0.6684)
Buy 3m USD/JPY 1x2x1 call fly (157/161/165)	21-Nov-25	0.40%			12-Jan-26	0.67% (spot ref: 158.15)
Sell 1y EUR/GBP risk reversal	21-Nov-25	Zero-cost (spot ref 0.8825, strikes 0.8670 / 0.95, vol 5.3 / 6.65)			8-Jan-26	0.8% EUR (spot ref 0.8680)
Buy 3m USD/CAD put, 1.36 strike	6-Oct-25	0.22% USD (spot ref 1.3962, vol ref 4.74)			6-Jan-26	Expired OTM (spot ref 1.3794)
Buy 6m EUR/GBP put spread	1-Jul-25	0.52% EUR (spot ref 0.8575, strikes 0.8530/0.8350)			31-Dec-25	Option expired OTM (spot ref 0.8717)
Buy 1y EUR/JPY call	25-Mar-25	1.41% EUR (172-strike, spot ref 162.70)			21-Dec-25	6.6% EUR (spot ref 184.60)
Buy 3m EURSEK put spread	8-Sep-25	0.32% EUR (strikes 10.90/10.80, spot ref 10.9750)			4-Dec-25	Expired OTM (spot ref 10.94)
Sell GBP/AUD	2-Oct-25	2.0380	1.9720	2.06	13-Oct-25	2.06
Buy 3m USD/JPY call spread	14-Jul-25	0.6426% USD (strikes 150/155, forwards ref 145.86, vol refs 9.94 and 9.75)			8-Oct-25	1.6% (spot ref 152.54)
Buy EUR/USD	12-Aug-25	1.1612	1.20	1.1392	7-Oct-25	1.1675
Buy CHF/JPY	8-Sep-25	184.30	189.00	182.00	7-Oct-25	189.00
Buy AUD/USD	10-Jul-25	0.6546	0.69	0.6570	12-Sep-25	0.6659 (raise stop to 0.6570)
Buy 6m EUR/CHF ratio call spread	5-Mar-25	0.53% EUR (spot ref 0.9550, buy 1 unit 0.9450 strike call; short 2 units of 0.97 strike call)			4-Sep-25	Option expired OTM (spot ref 0.9380)
Buy 1y USD/CAD RKO put	13-May-25	0.33% USD (1.36-strike with 1.30 RKO barrier, spot ref 1.3997, vol ref 5.915)			24-Jul-25	0.4228% USD (spot ref 1.36)
Buy USD/JPY	19-Jun-25	145.25	152	142	14-Jul-25	147.37
Buy EUR/USD	22-Apr-25	raised stop to 1.12, spot ref 1.1503 target 1.19	1.19	1.12	19-Jun-25	1.1466
Buy AUD/JPY	28-May-25	92.80	100	89.50	19-Jun-25	94.18
Buy 3m AUD/NZD call seagull	17-Apr-25	initially receive 0.3% AUD, long 3m call spread, strikes at 1.08 and 1.10, vol refs 5.59/5.7; short 1.06-strike put, vol ref 5.725, spot ref 1.0715)			9-May-25	0.7045% AUD (spot ref 1.0863)
Short CAD/MXN	11-Mar-25	6m fwd 14.5166 (spot ref 14.0467)	13.00	14.50	13-May-25	6m fwd 14.1360
Buy 3m EUR/SEK call	11-Feb-25	0.57% EUR (strike ref 11.40, spot ref 11.2709, vol ref 5.1)			9-May-25	Option expired OTM (spot ref 10.9294)
Buy 1m EUR/GBP put	1-Apr-25	18 pip GBP (strike price 0.83, spot ref 0.8365)			1-May-25	Expired OTM (spot ref 0.8498)
Buy EUR/USD	10-Apr-25	1.1061	1.15	1.0750	22-Apr-25	Raised stop to 1.12 (spot ref 1.1503)
Buy 3m USD/CHF call spread	14-Jan-25	0.6466% USD (spot ref 0.9167, strike refs 0.92/0.9450)			14-Apr-25	Expired OTM (spot ref 0.8149)
Buy 6m EUR/USD ratio call spread	5-Mar-25	1.01% EUR (spot ref 1.0696, buy 1 unit 1.08-strike call; short 2 units of 1.13-strike call.)			8-Apr-25	1.18% EUR (spot ref 1.0946)
Buy AUD/CNH	3-Apr-25	4.5835	4.89	4.44	7-Apr-25	4.44

Source: BofA Global Research

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Trade Recommendations EM

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Exhibit 30: Open trades

EM Alpha Trade Recommendations

FX	Entry date	Entry level	Current level	Target	Stop	Notional	Rationale/ Time horizon	Risks
Short USDTRY in 2m forward	26-May-26	48.8	48.9	Hold the forward until maturity	-	-	Rising domestic political uncertainty has led to a repricing of risk, creating a more attractive entry point, in our view	The risks are much higher oil prices, stronger broader USD, persistent local dollarization, intensifying geopolitical backdrop and resident capital outflows abroad.
Receive INR NDOIS 1y spot	22-May-26	6.3	6.1	6.0	6.6	10	A possibility of a delayed hiking cycle as RBI awaits additional data for validation and doesn't react to market pressures on FX. To fade extreme market	Risk to the trade comes from RBI hiking more aggressively in front-loaded manner to stabilize INR against further depreciation.
Buy USDIDR 17.7k/18k 3m call spread	14-May-26	45 bps	17846.0	171 bps	0 bps	10	Flows are likely to remain negative in the near-term with upcoming MSCI rebalancing and ongoing DNDF maturities. Any possible tightening by Bank Indonesia would have a positive signaling effect on IDR in the near-term.	Risks to the trade arise from aggressive tightening or intervention from Bank Indonesia or implementation of capital flow measures
Enter 3M dual digital (Aug 7) USD/INR > 97 and USD/KRW < 1430 for 9.5% USD	7-May-26	>97, <1,430	95.7; 1,496	-	-	10	AI led capex investment boom are increasingly evident in NE Asia, supporting Korea and Taiwan growth. This is shaping interest rate expectations and relative performance in Asia FX, specifically INR/KRW.	Equity flows more favorable to INR and against KRW.
Long PEN vs. CLP & MXN basket	5-May-26	100.0	101.4	104.0	98.0	10	FX now screens cheaper than rates. PEN has lagged bonds, creating better value. We expect a market-friendly election outcome.	Market unfriendly election.
Short THB/KRW	4-May-26	45.3	45.9	43.5	46.5	10	Sharp divergence in economic fundamentals and season factors would push THBKRW to break below the 200dma support line.	Positioning squeeze on USD weakness, THB's correlation to gold price increase. On KRW, acceleration of domestic retail outflows or renewed KOSPI selling pressure from foreigners.
Long SGD NEER	30-Apr-26	1.4	--	1.8	1.0	10	Expectations for MAS policy bias for tightening that would keep SNEER from correcting further within the band	Further USD strength or MAS shifting part of the policy burden to rates by tightening liquidity
Sell EUR/BRL	23-Apr-26	5.8	5.9	5.5	6.1	10	Iran conflict means higher commodities. Higher inflation means higher real rates. Election means hopes of better policies.	Dovish monetary surprise or fiscal stimulus that worsens the election outlook.
Long USD/ZAR	27-Mar-26	17.2	16.2	18.0	16.0	10	Global outlook for EM asset to deteriorate from here. The ZAR is too strong if global growth slides. The ZAR is the best short in EEMEA, better than the HUF, as the ToT shock for SA is likely to be stronger than for Hungary.	The risks are a quick resolution of the war and lower-than-expected energy prices, as well as higher-than-expected gold prices.
EURCZK: buy ATM straddle	12-Mar-26	EURCZK: 24.412, cost of straddle: 1.3666%	EURCZK: 24.281	-	-	10	EURCZK vol is the lowest relative to the 2y average of all major EM currency pairs. This makes the trade asymmetric. Prefer 3m (or 6m) as energy pass-through to vol takes time.	The risk is a quick resolution of the Middle East conflict and consequent return to a low-vol environment.
Long CLP/COP	5-Mar-26	4.1	4.1	4.6	4.0	10	We see three key supports for the trade: valuation, positioning, and politics.	Market-friendly outcome in Colombia's election, a sharp rise in oil prices, or a dovish surprise from Chile's central bank.
3M USD/CNH vanilla put with American Knock In at 6.91	2-Mar-26	6.9	6.8	6.7	-	10	CNY outlook is complex as PBoC tempers appreciation and Middle East conflict lift near-term USD/CNH upside risks.	Knock-in not triggered resulting in unhedged CNH appreciation exposure to USD/CNH 6.70 and below
Long INR vs SGD	3-Feb-26	71.3	75.0	70.0	72.5	10	Consensus bearish INR positions and repeated disappointments earlier on trade deal lowered	Dovish RBI policy bias or continued equity outflows.



Exhibit 30: Open trades

EM Alpha Trade Recommendations

FX	Entry date	Entry level	Current level	Target	Stop	Notional	Rationale/ Time horizon	Risks
Buy 2M USD/KRW 1370 digital vs. Sell 2M USD/THB 31.90 Digital	28-Jan-26	1,370; 31.9	1,496; 32.6	-	-	10	the bar for a positive surprise leading to bearish sentiment and potentially under hedging by exporters even as CA flows improve this quarter. KRW supported by AI-led export cycle, policy bias, and NPS/RIA-related inflows should mean KRW outperformance and higher vol.	Risk to the trade is a capital loss of 100% of notional at an expiry of above USD/THB 31.90 from selling a 2M USD /THB 31.90 digital
USDINR put spread	20-Jan-26	91.4	95.7	0.0	0.0	10	Add USDINR put spread on improvement in CA flows this quarter while RBI smoothing would likely cap upside risk.	Risk to the trade arises from persistent equity outflows over the next few months.
Long USDIDR topside	20-Jan-26	16970.0	17846.0	17400.0	-	10	Add USDIDR topside option as market builds further risk-premium for expansionary fiscal and monetary policies.	Risk to the trade arise from stronger intervention around 17,000/USD.

Source: BofA Global Research. Spot values as of May 28 2026. Bid/offer spreads accounted for in initiation and closing levels. Does not reflect tax withholdings or any investment advisory fees. Past performance is no guarantee of future results. A complete performance record is available on request. Inception date – July 4, 2016 Initiation and closing prices are priced as of trade publication.

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Exhibit 31: Closed trades

List of closed trades over the past 12 months

Trade	Open Date	Open Price	Target	Stop	Notional	Closing Date	Close Price
Long USD/MXN	10-Jul-25	18.62	20.00	18.00	10	30-Apr-26	17.52
Short USDNGN using OMO bills	12-Feb-26	OMO: 95.3; USDNGN: 1,354.7	4.5% total return	-2.5% total return	10	30-Apr-26	OMO: 99.5; USDNGN: 1,375
Long BRL/MXN	19-Aug-25	3.45	3.80	3.20	10	23-Apr-26	3.50
Short USDTRY using 3m forward	20-Jan-26	46.2	43.9	47.6	10	22-Apr-26	44.89
Long BRL/COP	7-Oct-25	724	775	675	10	12-Mar-26	710
Long USDPHP NDF	6-Jan-25	59	61	58	10	12-Mar-26	60
Long USD/ZAR	23-Jan-26	16	17	16	10	8-Mar-26	17
Short SGD NEER for carry and hedge vs short USD	29-Jan-26	2	1	2	10	4-Mar-26	2
Sell JPY/KRW	29-Jan-26	9	9	10	10	20-Feb-26	9
Buy USDKRW put spread 1425/1400 strikes	21-Nov-25	34.4 bps	34.4 bps	1400 lower strike	10	26-Jan-26	1,430
short USDKZT via 6m NDF	15-Dec-25	553	526	570	10	-	526
Receive USD TWD 2x5 NDF	4-Aug-25	-398pips	-525pips	-335pips	10	--	--
6m USD/CNH 6.85 digital put (spot ref 7.1150)	21-Nov-25	10.5% of notional	--	--	10	8-Jan-26	40
Long ZAR/MXN	5-Nov-25	1	1	1	10	7-Jan-26	1
Short USD/THB	12-Nov-25	33	32	33	10	2-Dec-25	32
Indonesia – Pay IDR points	25-Mar-25	60	85	40	10	23-Nov-25	1,060
Buy USDHKD 12-month outright	26-Nov-24	8	8	8	10	23-Nov-25	8
Buy 6M USD/SGD 1.45 instant one-touch	22-Nov-24	0	1	0	10	23-Nov-25	1,060
Short CNH, long basket	17-Nov-23	98	94	102	10	23-Nov-25	98
Sell EUR/CLP	18-Aug-25	1,129	1,060	1,160	10	17-Nov-25	1,060
Short USDKZT 6m NDF	19-Aug-25	570	541	587	10	4-Nov-25	541
Short SGD NEER	11-Apr-25	0	0	0	10	3-Nov-25	0
Long USD/PEN	31-Jul-25	4	4	3	10	22-Oct-25	3
Long ZAR, CZK and PLN against USD in the ratio of 3:2:1	19-Aug-25	16	16	17	10	7-Oct-25	2
Long CLP/COP	8-May-25	5	5	4	10	11-Sep-25	4
Long IDR vs SGD	23-Jul-25	12,730	12,400	12,900	10	4-Aug-25	12,724
Short THB vs MYR	15-Jul-25	8	8	7	10	4-Aug-25	8
Long TRY vs EUR and USD via 3m forward	16-Jan-25	39	37	40	10	31-Jul-25	spot: 43.59
Sell USD/ARS via 3m NDF	23-Apr-25	1,202	1,000	1,400	10	21-Jul-25	1,275
Long INR vs PHP	13-May-25	2	148	155	10	17-Jul-25	2



Exhibit 31: Closed trades

List of closed trades over the past 12 months

Trade	Open Date	Open Price	Target	Stop	Notional	Closing Date	Close Price
Long USD/MXN	10-Jul-25	18.62	20.00	18.00	10	30-Apr-26	17.52
Long USD/BRL	8-May-25	6	5	6	10	10-Jul-25	6
sell USDKRW	5-Jun-25	1,360	1,300	1,390	10	24-Jun-25	1,390
Buy EUR/MXN	21-May-25	22	24	21	10	24-Jun-25	22
receive 3x6 USDHKD	21-Jan-25	-101	-175	-	10	19-Jun-25	-318
Sell USDNGN 3M NDF	7-May-24	1,384	1,285	1,700	10	18-Jun-25	14
Receive 6x9 USDTWD NDF	30-Apr-25	-345	-450	-295	10	28-May-25	-450
Short USDZAR	6-Mar-25	18	18	20	10	28-May-25	14
Sell 6m USDEGP NDF	21-Jan-25	54	51	55	10	28-May-25	14
Short CAD/MXN	11-Mar-25	14	13	15	10	13-May-25	14
Long BRL/COP	6-Mar-25	754	900	650	10	8-May-25	752
Buy USD/PEN	20-Feb-25	4	4	4	10	10-Apr-25	4
short CNH 6M forward	14-Nov-25	7	7	7	10	9-Apr-25	7
Long THB vs USD	6-Mar-25	34	33	35	10	9-Apr-25	35
Short SGD NEER	22-Jan-25	1	0	2	10	9-Apr-25	0
Short SGD NEER; Long dual digital EUR>1.095, SGD>1.335	17-Mar-25	EurUSD: 1.0880 usdsgd: 1.3340	EURUSD>1.0950, USD/SGD>1.3350	-	10	7-Apr-25	20

Source: BofA Global Research. Bid/offer spreads accounted for in entry and closing levels. Does not reflect tax, withholdings or any investment advisory fees. Past performance is no guarantee of future results. A complete performance record is available on request. Inception date – July 4, 2016. For additional discussion on baseline views, valuation and risks to closed trades, please see the relevant reports. Trade recommendations are highlighted green when the closing value is greater than the entry value and red when the closing value is less than or equal to the entry value

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World At A Glance Projections

Exhibit 32: G10 FX forecasts

Forecasts as of 4-Jun-2026

	Spot	Jun-26	Sep-26	YE 26	Mar-27	Jun-27	Sep-27	YE 27
G3								
EUR-USD	1.16	1.17	1.17	1.20	1.22	1.23	1.24	1.25
USD-JPY	160	159	154	152	150	148	146	145
EUR-JPY	186	186	180	182	183	182	181	181
Dollar Bloc								
USD-CAD	1.39	1.38	1.37	1.36	1.35	1.35	1.35	1.35
AUD-USD	0.71	0.72	0.74	0.74	0.74	0.74	0.73	0.73
NZD-USD	0.59	0.60	0.59	0.60	0.60	0.60	0.60	0.61
Europe								
EUR-GBP	0.87	0.87	0.84	0.84	0.84	0.84	0.83	0.83
GBP-USD	1.35	1.35	1.39	1.43	1.45	1.46	1.49	1.51
EUR-CHF	0.92	0.91	0.92	0.93	0.94	0.94	0.95	0.95
USD-CHF	0.79	0.78	0.79	0.78	0.77	0.76	0.77	0.76
EUR-SEK	10.88	10.78	10.60	10.50	10.40	10.30	10.30	10.30
USD-SEK	9.35	9.25	9.06	8.75	8.52	8.37	8.31	8.24
EUR-NOK	10.85	10.79	11.30	11.20	11.00	10.90	10.80	10.70
USD-NOK	9.32	9.25	9.66	9.33	9.02	8.86	8.71	8.56

Source: BofA Global Research, Bloomberg. Note: Forecasts as of 4 June 2026

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Exhibit 33: EM FX forecasts

Forecasts as of 4-Jun-2026

	Spot	Jun-26	Sep-26	YE 26	Mar-27	Jun-27	Sep-27	YE 27
Latin America								
USD-BRL	5.06	5.00	5.00	4.95	4.90	4.85	4.80	4.75
USD-MXN	17.28	17.50	17.50	17.50	17.75	18.00	18.25	18.50
USD-CLP	894	890	880	870	865	860	855	850
USD-COP	3,564	3,800	3,850	3,950	4,050	4,150	4,250	4,350
USD-ARS	1,441	1,400	1,500	1,600	1,700	1,800	1,900	1,900
USD-PEN	3.42	3.35	3.30	3.20	3.17	3.16	3.15	3.15
Emerging Europe								
EUR-PLN	4.24	4.23	4.21	4.17	4.15	4.15	4.15	4.15
EUR-HUF	353.78	360.00	355.00	350.00	345.00	345.00	345.00	345.00
EUR-CZK	24.20	24.30	24.10	23.80	23.50	23.40	23.30	23.30
USD-ZAR	16.24	16.60	16.50	16.00	15.40	15.70	16.00	16.00
USD-TRY	45.97	46.90	49.30	51.70	53.60	55.60	57.60	59.60
EUR-RON	5.26	5.20	5.23	5.25	5.25	5.25	5.27	5.30
USD-ILS	2.89	2.90	2.85	2.80	2.80	2.75	2.70	2.70
Asian Bloc								
USD-KRW	1,532.45	1,490	1,440	1,395	1,380	1,365	1,350	1,335
USD-TWD	31.47	32.10	31.00	30.80	30.60	30.40	30.20	30.00
USD-SGD	1.28	1.28	1.26	1.25	1.25	1.24	1.24	1.23
USD-THB	32.66	33.00	32.70	32.00	31.50	31.50	31.50	31.00
USD-HKD	7.83	7.80	7.78	7.75	7.75	7.75	7.75	7.75
USD-CNY	6.77	6.90	6.80	6.70	6.70	6.70	6.60	6.60
USD-IDR	18,033	17,800	17,900	18,000	18,100	18,200	18,200	18,200
USD-PHP	61.62	63.00	64.00	64.00	65.00	66.00	66.00	66.00
USD-MYR	4.01	3.95	3.95	3.95	3.95	3.95	3.90	3.90
USD-INR	95.79	96.00	97.00	98.00	98.50	99.00	99.00	99.00

Source: BofA Global Research, Bloomberg. Note: Forecasts as of 4 June 2026

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